

**Time:** 5 minutes**Outcome:** Interpret PPF points, slopes, shifts, efficiency, growth, and opportunity cost.**Difficulty:** ●○○ Beginner

Production Possibilities Frontier (PPF)



THE CORE IDEA

A production possibilities frontier shows the combinations of two goods an economy can produce with its current resources and technology. A bowed-out PPF shows increasing opportunity cost as resources are shifted toward one good. Opportunity cost rises because resources are specialized and become less well suited as they are shifted into the other good. A PPF shows possible production combinations given current resources and technology.



HOW TO RECOGNIZE IT

- A PPF shows possible production combinations given current resources and technology.
- A new technology improves only medical production.
- An economy first removes unemployment, then gains new machinery.
- Using idle resources changes the production point; resources or technology shift the frontier.

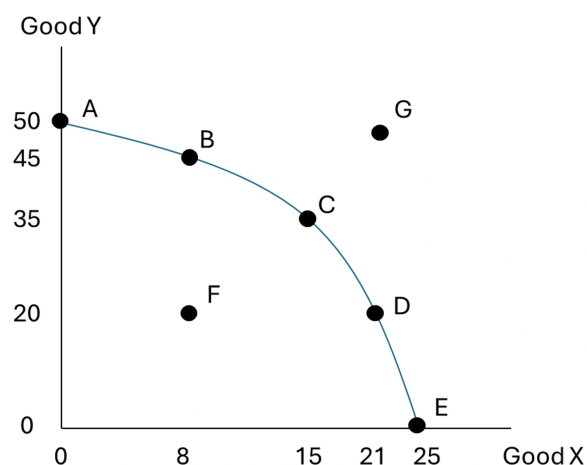


WATCH OUT

Do not confuse a PPF with a market curve. A PPF shows possible production combinations given current resources and technology. Using idle resources changes the production point; resources or technology shift the frontier.



WORKED EXAMPLE: READING A PPF



On the PPF, moving from point C (15 units of X and 35 of Y) to point D (21 of X and 20 of Y) gains 6 units of X but gives up 15 units of Y. The total opportunity cost is 15 units of Y, or $15/6 = 2.5$ units of Y per additional unit of X.



CHECK YOURSELF

Does moving along a PPF represent economic growth?

**READY?****Return to the game and master this concept.**